

ing countries is a very simple but powerful way to think about the future. First the newly well-off want bicycles, then motorcycles, and, five years from now, automobiles.

Another change that occurs when you become middle class is that you start to take vacations. Especially in countries that are small and overcrowded and whose population is homogeneous, there's a great desire to see different lands. The emerging middle class will travel to Australia or Hawaii or Switzerland or Bali to experience a different climate and see different people and sights. Translating that wanderlust into investments, our analysts have invested in the stocks of Genting International (a Singapore cruise line), H.I.S. (a Japanese travel agency), and Burswood (an Australian casino).

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The growth of a middle class in developing countries is a very simple—but powerful—way to think about the future. First the newly well-off want bicycles, then motorcycles, and five years from now, automobiles.

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Some of the upwardly mobile middle class climb into the upper class. There are already tens of thousands of very wealthy entrepreneurs in these countries, and they love luxury status symbols from the West—Tiffany jewelry, Escada suits, BMWs. These are all supplied by publicly owned companies.

## **Mistakenly Identified**

Of course, not all long-term themes are as certain bets as the spread of phone systems. Some of my most carefully considered forecasts